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US Economic Update: June 22, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q2 2026 (%)	17-Jun-26	16-Jun-26	15-Jun-26	11-Jun-26	10-Jun-26	9-Jun-26
	3.0	2.8	3.0	3.1	3.2	3.3

FOMC keeps rates on hold amid elevated inflation risks

- The Federal Open Market Committee (FOMC) held the federal funds rate steady at 3.5%–3.75% for the fourth consecutive time in June. The committee noted that inflation continues to run above its 2% target while the economy and the labor market have been resilient. In his first meeting as Fed Chair, Kevin Warsh reaffirmed the Fed's commitment to price stability and adopted a more cautious communication, removing forward-looking guidance from the policy statement. The Fed chair also signaled that rates could remain higher for longer if inflationary pressures persist.

  This cautious stance was reflected in the FOMC's latest quarterly projections. In June, the committee's median view for GDP growth in 2026 was 2.2%, down from a projection of 2.4% in March. However, the median view for inflation was up with headline inflation projected at 3.6% this year, up from 2.7% in the previous quarterly projection. The labor market is expected to remain relatively resilient, with the unemployment rate projected at 4.3% in 2026. The committee signaled the possibility of a rate hike in 2026, followed by gradual easing with 25 basis points of rate cuts projected in both 2027 and 2028.
- Nominal retail sales (including food services) rose 0.9% in May, up from a 0.4% increase in April. Higher gasoline prices boosted sales at gasoline stations by 3.4% during the month. Sales also increased at miscellaneous store retailers (2.3%), non-store retailers (1.5%), and motor vehicle and parts dealers (1.2%). Compared to a year ago, total retail sales were up 6.9% in May, reflecting rising volume of sales and higher prices.
- Housing starts fell 15.4% in May to a seasonally adjusted annual rate of 1.18 million units, the lowest level since May 2020. Starts for multi-family homes declined by 40% in May, while single-family starts fell by 1.9% during the month. Compared to a year ago, total starts reduced by 8.7% in May. Building permits, an indicator of future housing starts, fell 0.7% in May after increasing by 4.4% in the previous month. Permits were down 0.2% in May compared to a year ago. Overall, trends in starts and permits indicate that the housing market remains subdued, as elevated mortgage rates, high construction costs, and affordability continue to weigh on both builder activity and housing demand.
- Manufacturing output grew 0.1% in May, following a 0.7% gain in April. Total industrial production was up 0.1% in May as gains in both manufacturing and mining offset a 0.5% decline in utilities output.

Figure 1. In its median view in June, the FOMC signaled the possibility of a rate hike in 2026 amid elevated inflation risks

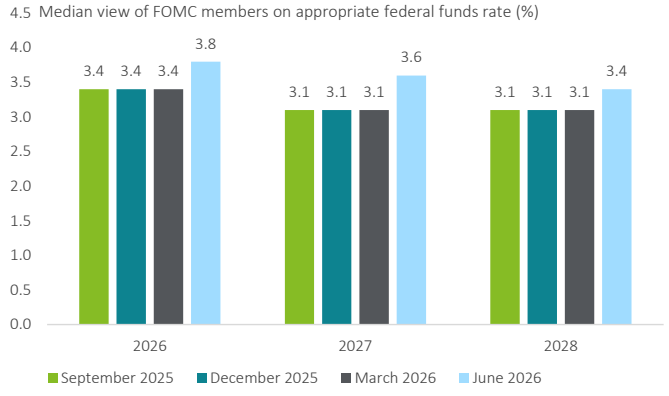


Figure 2. Housing starts fell 15.4% to a six-year low in May as rising construction costs and high mortgage rates weigh on the market



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls			
May change	3-month avg ch	12-month avg ch	Trend
172,000	188,000	41,000	

Unemployment rate			
May value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.3	0.0	-0.1	

Real disposable personal income			
Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.5	-1.1	-1.1	

Real personal consumer expenditure			
Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.7	2.1	

Nominal retail sales			
May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.9	3.0	6.9	

Conference Board consumer confidence index			
May value	1-month ch	3-month ch	Trend
93.1	-0.7	2.1	

Housing permits			
May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.7	-8.2	-0.2	

Manufacturing industrial production			
May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	1.0	1.4	

Shipments of core capital goods			
Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	3.1	7.7	

Trade balance			
Apr value (US$ billion)	1-month ch	3-month ch	Trend
-55.9	0.7	-1.7	

Real GDP			
Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
1.6	0.5	2.6	

Corporate profits			
Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
3.8	26.3	12.0	

Financial markets

Equity markets			
S&P 500 on Jun 18	1-week ch (%)	1-year ch (%)	Trend
7500.6	1.4	25.7	

Treasury yield spread (10 yr - 2 yr)			
Spread on Jun 18	1-month ch(ppts)	3-month ch(ppts)	Trend
0.27	-0.27	-0.2	

CBOE volatility index (VIX)			
VIX on Jun 19	1-week ch	4-week ch	Trend
16.8	-0.9	0.0	

Kansas City Fed financial stress index (KCFSI)			
May index	1-month ch	3-month ch	Trend
-0.9	-0.2	-0.3	

Inflation

Consumer price index (CPI)			
May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.5	2.0	4.2	

Core CPI (CPI excluding food and energy)			
May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.8	2.9	

Core PCE (PCE price index excluding food and energy)			
Apr change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.9	3.3	

Philadelphia Fed 10-year ahead inflation expectations			
Q2 2026 (%, YoY)	Q1 2026	Q2 2025	Trend
2.4	2.3	2.4	

Sources: Haver Analytics; Deloitte analysis.